

Chaudhry has set in motion close to two dozen transformation projects and is making the bank, which has had a public (erstwhile UTI Bank) character, more process driven.

Is it working? Here's a cheat sheet. In March 2022—Chaudhry stepped into the corner room in January 2019 from HDFC Life, where he was MD and CEO—Axis Bank's net profit rose to ₹13,025 crore, a multi-fold jump from ₹1,627 crore in FY20, and an even lower ₹276 crore in FY18. The profits at its subsidiaries have also pole-vaulted from ₹347 crore to ₹1,195 crore in these three years. There has also been significant improvement in various other parameters, such as return on assets (ROA), return on equity (ROE), and capital adequacy, among others (see *Amitabh Chaudhry's First Three Years*).

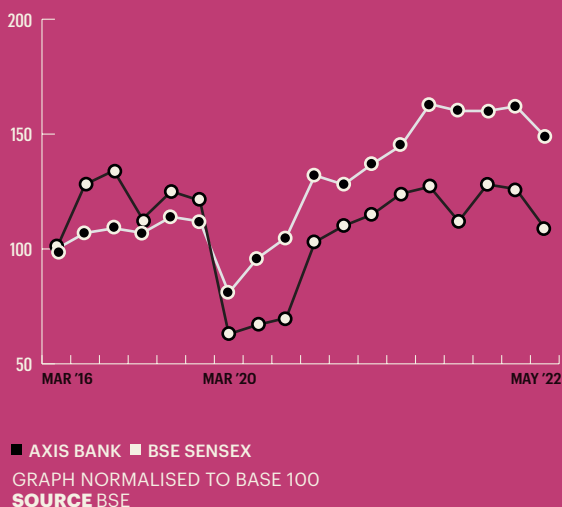
What's Chaudhry's recipe? Here's a peek. He has put the legacy issue of deteriorating asset quality behind, sharpened focus on retail with an asset-led strategy in semi-urban and rural geographies, tapped high-rated

corporates in wholesale banking, introduced mid-corporates for the first time, and created a new SME template. In fact, the de-linking of the loan underwriting functions in both retail and corporate businesses was the most significant exercise. "We have become extremely conservative in our approach in terms of not only provisions, but also accounting policies," he says. The bank, which had gross NPAs of 5.75 per cent when Chaudhry joined, has now set up norms and accounting policies, which need sign-offs from the board-level audit committee (see *The Game Plan*). Its gross NPA currently is at 2.8 per cent.

Chaudhry is also fashioning a different culture of meritocracy, transparency and excellence. Three senior management team members—Deepak Maheshwari, a board member of Axis Finance; Munish Sharda, Group Executive and Head of Bharat Banking; and Sumit Bali, Group Executive and Head of Retail Lending—were CEOs or board-level directors in their previous roles. Maheshwari

INVESTORS UNCONVINCED

Since January 2019, when Amitabh Chaudhry became CEO, Axis Bank's stock has largely underperformed the BSE SENSEX



AMITABH CHAUDHRY'S FIRST THREE YEARS...

...have seen most ratios improve

Parameter	Jan '19	Mar '22
Total assets (₹ crore)	7,56,176	11,75,178
Return on assets#	0.88%	1.46%
Return on equity#	11.33%	15.87%
Retail advances	49%	56.50%
Semi-urban and rural branches	48%	47%
CASA	46%	45%
Capital adequacy	16.40%	18.54%
Net interest margin*	3.66%	3.64%
Gross NPAs	5.75%	2.80%
Net NPAs	2.36%	0.73%

*DOMESTIC #ANNUALISED; CASA IS PERIOD END
SOURCE ANNUAL REPORTS AND PRESENTATIONS

FEB 2021

Bank's subsidiary Axis Securities pounced on the trading accounts of Karvy Stock Broking

MARCH 2021

Acquired close to 10 per cent stake in Max Bupa Health Insurance's promoter-level company Fettle Tone

APRIL 2021

Acquired close to 13 per cent stake in Max New York Life Insurance via the bank and two subsidiaries

MARCH 2022

Acquired Citi's consumer banking business in India in a \$1.6-billion deal